

GLOBAL MACRO INTELLIGENCE BRIEF

Under-Covered Structural Risks in the World Economy

Set 1 of an ongoing series · Seven deep dives · Threat meters, plain-language summaries & reader actions

Prepared: 25 June 2026

Scope: Truly global, no regional weighting. Macro and micro economic stories that are structurally important but under-discussed relative to their potential consequences.

Method: Multi-source verification with explicit confidence tags, both-sides conflict mapping, deliberate stress-testing of each thesis, cross-story pattern analysis, historical analogues, and forward indicators. Full sources at the end.

A note on the word “suppressed”: Genuinely suppressed information is usually unverifiable, and the label is where misinformation thrives. This brief therefore surfaces stories that are under-covered — important plumbing that headlines skip — and reserves stronger claims of concealment for cases with hard evidence. None of the seven below rest on a concealment claim; they rest on public data that is simply not being connected.

How to read this brief

New in this set: every deep dive now opens with a one-line “**Who this hits**” tag and ends with two reader-facing sections — “**In plain terms**” (a jargon-free summary) and “**What you can do now**” (realistic, protective steps, offered as general education, not personalised advice). There is a plain-language glossary at the back, and the pattern analysis closes with its own plain-terms summary.

Each deep dive follows the same structure so you can navigate quickly and weigh the stories against one another:

- **Who this hits** — instantly see whether it touches you.
- **Current threat level (1-10)** — with what would raise or lower it.
- **What is happening** — the verified facts, with confidence tags.
- **Why it is under-covered** — the structural reason it stays off front pages.
- **The debate** — what each side argues, and what both sides accept as true.
- **Stress test** — the strongest case that this is not a big deal, examined honestly.
- **Historical parallel** — the closest analogue and how it actually resolved.
- **In plain terms** (blue box) — the whole thing, said simply.
- **What you can do now** (green box) — concrete protective steps, where they exist.
- **What to watch** — specific forward indicators and why they matter.

Confidence tags: **[Established]** multiple independent, high-quality sources agree. **[Contested]** credible sources disagree. **[Single-source]** one source only — treat as a lead, not a fact. **[Forecast]** a projection, not an outcome.

About the threat-level meter (1-10). Each story now carries a current threat level: our judgment of the likelihood of a materially disruptive event in roughly the next 12 months, weighted by how widely the damage would spread. It is a judgment call, not a forecast, and it is built to move — each meter lists what would raise or lower it, drawn from that story’s watchlist. Bands:

- **1-2 Low** — background/structural, no near-term trigger.
- **3-4 Moderate** — a real vulnerability, slow-moving and contained.
- **5-6 Elevated** — active stress, plausible escalation within 6-18 months.
- **7-8 High** — acute stress or a near-term trigger; meaningful chance of a disruptive event.
- **9-10 Severe** — crisis imminent or already unfolding.

The connective thesis. Read individually these are seven stories. Read together they describe one thing: a global financial system whose load-bearing functions have quietly migrated into places that are large, leveraged, opaque, lightly regulated, or politically weaponised — and that are increasingly wired to the same small number of pressure points, above all the US Treasury market. The final section maps how the seven interlock.

Risk dashboard — Set 1 at a glance

Current threat levels across all seven stories, as of 25 June 2026. See each story for the reasoning and the indicators that would move it.

Story	Level	Band	Key driver of the level
1. Treasury basis trade (hidden leverage)	5/10	Elevated	Systemic but orderly so far
2. Japan fiscal / JGB / carry trade	6/10	Elevated	Live, time-sensitive repricing
3. Private credit's opaque expansion	5/10	Elevated	First cracks, slow shakeout
4. Developing-world debt crisis	5/10	Elevated	High human toll, lower systemic
5. China's exported deflation	6/10	Elevated	Entrenched, radiating outward
6. Critical minerals as a weapon	6/10	Elevated	Coercive tool, fragile truce
7. Stablecoins & Treasury demand	4/10	Moderate	Fast-growing but still small

Aggregate Set 1 level: $\approx 5/10$ — Elevated (mean of the seven). The system is not in crisis, but multiple Elevated stresses share the same convergence point — the US Treasury market.

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1. The Treasury “basis trade”: hidden leverage under the world’s safest asset

WHO THIS HITS: *Anyone with savings, a mortgage, or a pension — this sits under the US Treasury market, which sets the price of almost all borrowing and most investments.*

CURRENT THREAT LEVEL: **5/10 — Elevated** *Systemic but currently orderly*

1	2	3	4	5	6	7	8	9	10
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Why this level: Among the largest hidden-leverage points in markets, but it has stayed orderly through recent volatility and central clearing is on the way. **Raises it:** A spike in Treasury volatility (MOVE) or repo rates forcing margin calls; a delay or carve-out to SEC central clearing. **Lowens it:** Central clearing implemented on schedule; falling Treasury volatility; a shrinking share of zero-haircut repo.

What is happening

[Established] A small group of highly leveraged hedge funds has become a central marginal player in the \$30tn US Treasury market through the cash-futures basis trade — buying cash Treasuries, shorting Treasury futures, and financing the position in the overnight repo market. The Dallas Fed reports hedge-fund net repo borrowing reached roughly \$1.8tn by year-end 2025, about 6% of marketable notes and bonds.

[Contested] Estimates of the trade’s size vary by method; some gauges based on gross futures exposure put it near \$1.4tn, potentially around twice its 2020 scale. **[Established]** What is not disputed: leverage is concentrated and high. The largest Treasury-holding funds run balance-sheet leverage well above the sector average, and a Federal Reserve analysis found the great majority of hedge-fund repo borrowing transacts at zero or negative haircuts — meaning almost no cushion if prices move.

[Established] Fed Governor Lisa Cook publicly flagged these positions as a systemic vulnerability in November 2025. The SEC’s mandate to centrally clear cash Treasuries (end-2026) and Treasury repo (mid-2027) is the regulators’ main structural response — still ahead, not yet in force.

Why it is under-covered

It is pure market plumbing with no retail hook, no villain, and a name that signals “technical.” Yet it sits beneath the asset that prices everything else on Earth. When it breaks, it does so violently and the public only learns the term afterwards.

The debate

Regulators argue: the trade is large, concentrated, funded by ultra-short repo, and exposed to a doom loop — a volatility spike raises futures margins and repo haircuts at once, forcing funds to dump cash Treasuries into a falling market, widening the very basis they were arbitraging.

The industry argues: the trade is functionally useful — it keeps futures and cash prices aligned, adds auction demand and liquidity in normal times — and that fund-level leverage is far below 2008-era securitisation chains.

Both sides accept: the position is genuinely large, genuinely concentrated in a handful of funds, central to Treasury functioning, and that central clearing is coming. The disagreement is only about how it behaves under acute stress.

Stress test (the benign case)

The optimistic read held up in April 2025: NY Fed officials noted the basis trade stayed orderly through tariff-driven volatility. Central clearing, once live, should mutualise risk and reduce zero-haircut financing. If the Fed's Standing Repo Facility back-stops funding on demand, a 2020-style seizure may simply not recur. The weakness in that case: the facility is untested at scale during a true panic, clearing is still 12–18 months away, and concentration means a few funds failing simultaneously could still overwhelm dealer balance sheets.

Historical parallel

March 2020: basis-trade unwinding was a major contributor to the Treasury market dysfunction that forced the Fed into massive emergency purchases. Further back, the 1998 collapse of Long-Term Capital Management showed how a relative-value arbitrage on tiny spreads, levered enormously, can threaten the system when the spread moves the “wrong” way and convergence arrives too late to meet today's margin call. Both episodes ended with official intervention, not market self-correction.

In plain terms

A handful of hedge funds have borrowed enormous sums to run a razor-thin-margin trade in US government bonds — the safest, most important market in the world. In calm times it helps the market work. But it is so leveraged that a sudden jump in volatility could force them to dump bonds all at once — which is what briefly broke this market in March 2020 and required an emergency Fed rescue. It isn't flashing red now, but it's a hidden fragility sitting under everything else.

What you can do now

Keep an emergency cash cushion. If the bond market seizes up, everything wobbles for a while; cash means you aren't forced to sell at the worst moment.

Don't assume “bonds are always safe.” In a 2020-style episode even US Treasuries briefly fell; spreading across asset types matters more than owning any one ‘safe’ thing.

Favor simple, low-cost, broad funds over leveraged or exotic bond products you don't fully understand.

Mostly, this is awareness. It's a plumbing risk you can't personally fix — but knowing why a sudden bond-market air-pocket can happen helps you avoid panic-selling into one.

What to watch

- The SOFR-fed funds spread and repo rates spiking at quarter-ends: signals dealer balance-sheet strain and tightening funding for the trade.
- The MOVE index (Treasury volatility): sustained spikes are what trigger margin/haircut doom loops.
- SEC Treasury-clearing implementation milestones through 2026–2027: delays or carve-outs would leave the vulnerability intact.
- Form PF and OFR repo data showing whether leverage and zero-haircut share keep rising.

2. Japan's \$2.3tn bet, the JGB market, and the carry-trade fuse

WHO THIS HITS: Anyone invested in global stocks or bonds — a sudden unwind of Japan's 'carry trade' can jolt markets worldwide, as it briefly did in August 2024.

CURRENT THREAT LEVEL: **6/10 — Elevated** *Live, time-sensitive repricing*

1	2	3	4	5	6	7	8	9	10
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Why this level: JGB yields at multi-decade highs, a huge new spending plan with unclear financing, and a recent (August 2024) carry-unwind precedent make this the most time-sensitive story in Set 1. **Raises it:** A sharp yen surge alongside rising JGB yields; messy financing of the Takaichi plan; a hawkish BoJ surprise. **Lowens it:** Orderly yield rises with a stable yen; a credible funding path for the plan; calm global carry conditions.

What is happening

[Established] On 24 June 2026, Prime Minister Sanae Takaichi unveiled a long-term plan to mobilise more than ¥370tn (about \$2.3tn) of public and private investment over 14 years to March 2041, with ¥101.6tn earmarked for AI and semiconductors. Government is expected to fund a little under half. The plan landed with Japanese equities euphoric — the Nikkei 225 briefly topped 70,000 for the first time this month — and bond strategists uneasy.

[Established] The bond market context is the real story. The Bank of Japan has been normalising after decades of ultra-loose policy: it ended yield-curve control and negative rates, is running quantitative tightening, and holds a 0.5% policy rate. Long-end yields have repriced sharply — the 30-year JGB hit a record 3.875% in January 2026 — and life insurers, the traditional buyers of super-long bonds, have been trimming exposure, prompting Japan's FSA to accelerate a review of unrealised losses on their balance sheets.

[Single-source] One market write-up puts Japan's debt-to-GDP near 232% for end-2026; **[Established]** the government's own three fiscal scenarios show the debt ratio declining only in the optimistic case and rising again in the 2030s otherwise. Bloomberg's same-week assessment was blunt: the plan "raises fresh JGB concerns."

Why it is under-covered (in the West)

It reads as a domestic Japanese fiscal story. But Japan is the world's largest creditor nation, and the yen is the world's funding currency. The transmission belt from Tokyo's bond market to global asset prices runs through the carry trade — and that belt is rarely on Western front pages until it snaps.

The debate

The bull case: decisive industrial policy (AI, chips, defence, shipbuilding) finally breaks Japan out of stagnation; reflation plus growth shrinks the debt ratio; equity markets are voting yes.

The bond-market case: the plan's financing is unspecified, issuance pressure meets a BoJ that is buying less, and rising domestic yields plus a stronger yen make Japanese institutions repatriate capital.

Both sides accept: the plan is unprecedented in scale, the financing path is genuinely unclear, and long-end JGB yields are structurally higher than at any point in a generation.

Stress test (the benign case)

Japan funds itself almost entirely domestically, in its own currency, with a vast pool of household and institutional savings — the textbook reason a 230%-plus debt ratio has never triggered a crisis. If deflation is real and wages keep rising, higher nominal growth makes the debt easier, not harder, to carry, and insurers eventually become natural buyers of higher-yielding super-longs again. The vulnerability in that case is timing and speed: an orderly repricing is benign; a disorderly one that coincides with a yen surge forces a synchronised global carry unwind.

Historical parallel

August 2024 is the live warning: a modest BoJ hike plus yen strength triggered a violent, if brief, global carry-trade unwind that hit equities worldwide. Late 2022–early 2023 saw global bond markets wobble the last time JGB yields jumped meaningfully. The pattern is consistent — yen-funded leverage built quietly over years can reverse in days.

In plain terms

For decades Japan had near-zero interest rates, so investors borrowed cheaply in yen to buy higher-returning assets all over the world — the ‘carry trade.’ Now Japan’s rates and bond yields are rising and it has just announced a giant spending plan. If the yen jumps and Japanese money heads home, that global trade can unwind fast, yanking money out of markets everywhere in a matter of days. A mini-version of exactly this happened in August 2024.

What you can do now

Expect occasional sharp, short drops from this kind of unwind — and don’t panic-sell into them; historically they’ve been violent but brief.

Keep a cash buffer so a sudden global wobble doesn’t force your hand at the bottom.

Diversify globally rather than concentrating in the assets most reliant on cheap-yen funding (high-flying tech, some emerging markets).

If you hold Japan or currency-hedged funds, understand that a stronger yen changes how they behave.

What to watch

- USD/JPY together with the 10- and 30-year JGB yields: rapid yen strengthening plus rising yields is the classic carry-unwind signature.
- Japanese investors’ net flows in foreign bonds (especially US Treasuries): repatriation removes a major marginal buyer of US debt — directly linking this story to Story 1.
- BoJ meeting guidance and the pace of QT; any sign the Ministry of Finance must lean on issuance to fund the plan.
- Life-insurer disclosures and FSA findings on unrealised bond losses.

3. Private credit's quiet \$2tn expansion — and its first cracks

WHO THIS HITS: Anyone with money in pensions, insurance products, or 'alternative' funds — private credit has quietly spread into retirement and insurance portfolios.

CURRENT THREAT LEVEL: 5/10 — **Elevated** *First cracks, slow shakeout*

1	2	3	4	5	6	7	8	9	10
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Why this level: Defaults are rising from a low base and high-profile blow-ups have appeared, but lock-ups and lower leverage point to a grind rather than a sudden break. **Raises it:** A correlated AI/software default wave; redemption gates at large funds; a widening gap between private marks and public prices. **Lowens it:** Defaults plateauing near historical norms; transparent, timely markdowns; no insurer-channel contagion.

What is happening

[Established] Private credit — non-bank direct lending to mid-sized companies — has grown to roughly \$1.5–\$2.5tn in assets and now sits largely outside the prudential regulatory perimeter. In May 2026 the Financial Stability Board warned that its complexity, leverage, valuation opacity and interconnection with banks and insurers could amplify stress. The European Central Bank and Bank of England have echoed the concern; the BoE is stress-testing the sector.

[Established] The first real cracks appeared in 2025 with the collapses of First Brands and Tricolor in US auto-parts and asset-based finance, which pushed the question of hidden risk in private markets into view. Morgan Stanley warned in early 2026 that direct-lending default rates could climb toward 8% — versus a 2–2.5% historical average — with pressure concentrated in software borrowers exposed to AI disruption, while adding the spike would be “significant but not systemic.” Use of payment-in-kind arrangements, where borrowers defer cash interest, has risen — a classic stress release valve that also masks strain.

[Established] The most under-watched channel is the private-equity-to-insurance linkage: insurers affiliated with PE firms hold large private-credit concentrations, and a small but growing private-credit CLO market (around 3% of assets) is an early step back toward securitisation. Fed Governor Cook named private credit one of four key financial-stability risks.

Why it is under-covered

It is private by design. There are no daily prices, no public ratings on most borrowers, and net asset values are reported with a 60–90 day lag using model-based marks. Opacity is the product feature that makes the risk hard to see — and hard to report.

The debate

The warning case: lower-quality, higher-leverage borrowers; valuations that lag reality; insurer balance sheets and retirement savings quietly exposed; a “zero-loss” marketing myth meeting its first downturn.

The reassurance case (bank CEOs, Treasury): fund-level leverage is modest (roughly 1–1.5x versus 30–40x in pre-2008 securitisation), capital is locked up for years rather than runnable, and the market is “still small enough” to avoid systemic threat.

Both sides accept: defaults are rising from low levels, valuation practices are opaque, and the sector is untested through a full, prolonged downturn.

Stress test (the benign case)

The structural differences from 2008 are real: long lock-ups prevent depositor-style runs, leverage is far lower, and there is no comparable web of CDOs. The most probable adverse path is therefore not a sudden collapse but a slow shakeout — rising defaults, forced markdowns, restricted redemptions, tighter credit for mid-sized firms — painful for investors and borrowers but absorbable by the banking system, which the Fed's 2025 stress test suggested could withstand even severe non-bank stress. The risk to that benign read is correlation: if an AI-driven revenue shock hits software borrowers all at once, diversification fails exactly when it is needed.

Historical parallel

The unavoidable comparison is subprime — opaque, rapidly grown, model-valued credit — but the analogy is contested and imperfect given the leverage and liquidity differences. A closer fit may be the slow-burn savings-and-loan and leveraged-loan workouts: not a single detonation, but a multi-year grind of markdowns and restructurings that traps capital and tightens lending well after the headlines fade.

In plain terms

Big investment firms have built a roughly \$2 trillion business lending directly to mid-sized companies — outside the banks, and outside daily market prices. Because there are no public prices, trouble stays hidden until it surfaces, and the first cracks (a couple of large collapses) have appeared. It's more likely to be a slow grind of losses than a sudden crash — but a lot of it has crept into insurance and retirement money, so ordinary people are exposed without realizing it.

What you can do now

Check your exposure. Ask whether your retirement or insurance products hold 'private credit' or 'alternatives,' or read the fund factsheet.

Be skeptical of 'high steady yield, no volatility.' Smooth returns often just mean the price isn't being updated — not that there's no risk.

Mind the lock-ups. Many of these funds can trap your money for years and value their holdings on a lag; don't chase the yield without understanding both.

Diversify. Don't let one yield-chasing product become a large share of your savings.

What to watch

- The gap between private marks and public-market comparables (e.g. liquid leveraged-loan and BDC prices): a widening gap understates realised losses.
- Rising payment-in-kind usage and redemption restrictions ("gates") at large funds: signs strain is being deferred rather than resolved.
- Default rates in software/tech-services direct lending specifically — the AI-exposed segment.
- Disclosures on PE-owned insurers' private-credit concentration: the channel into retirement assets.

4. The silent debt crisis in the developing world

WHO THIS HITS: *Mainly people in developing countries (through austerity and lost services); for everyone else it's a moral, migration, and geopolitical story — and a risk inside emerging-market funds.*

CURRENT THREAT LEVEL: **5/10 — Elevated** *High human toll, lower systemic spillover*

1	2	3	4	5	6	7	8	9	10
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Why this level: A genuine, ongoing crisis for billions, but fragmented across many small economies and walled off from rich-world markets, so the global-financial threat is moderate even as the human cost is high. **Raises it:** A strong-dollar surge or commodity shock tipping several countries at once; stalled restructurings. **Lowers it:** Dollar and real-yield easing; faster G20 Common Framework debt relief; commodity-price relief.

What is happening

[Established] As of March 2026, 75 of 119 low- and middle-income countries assessed by the IMF and rating agencies are in or at risk of debt distress. UN figures put annual developing-country debt servicing near \$1.4tn, and more than 3.4 billion people — close to half of humanity — live in countries that spend more on debt interest than on health or education. Interest already exceeds 10% of government revenue in 56 countries, and 20% in 17 of them, a threshold strongly associated with default.

[Established] Africa is the epicentre. Restructurings (Zambia, Ghana and others) have been slow and partial; leaders argue the credit-ratings system punishes reform. A recent report found Nigeria's debt payments running near five times its combined health and education spending. The 2026 Middle East energy shock worsens the squeeze for fuel importers, and a faith-led "Turn Debt into Hope" Jubilee campaign has revived calls for relief.

Why it is under-covered

The UN Secretary-General named the exact reason: because the crisis is concentrated in poor countries, it is "not judged to pose a systemic risk to the global financial system" — so markets, and therefore most financial media, look away. It is a humanitarian and geopolitical catastrophe that is invisible precisely because it does not threaten rich-world portfolios.

The debate

Creditors and the IMF argue: much of the debt is sustainable after fiscal adjustment; lending and reform programmes are the path back to market access.

Critics argue: the IMF functions as "the world's debt collector," its prescribed measures (e.g. VAT increases) are regressive, and the architecture forces a choice between servicing creditors and funding development.

Both sides accept: servicing burdens are at multi-decade highs, borrowing costs for these states run several times those of the US or Germany, and the diversion from health, education and investment is real and growing.

Stress test (why it may not blow up)

There is a coherent case that this stays a slow burn rather than a 1980s-style cascade: exposures are fragmented across many small economies and many creditors (now including China and private bondholders), so there is no single domino. Multilateral backstops, the G20 Common Framework, and case-by-case restructurings can keep most countries limping along. But "no cascade" is not "no crisis" —

the human and developmental cost compounds quietly, and a synchronised dollar surge or commodity shock could still tip several at once.

Historical parallel

The 1980s Latin American debt crisis — the “lost decade” — is the template: foreign-currency debt plus a strong dollar and high global rates produced a decade of austerity, lost growth and political upheaval, ultimately resolved only by the Brady Plan’s debt write-downs years later. The lesson is that delay is itself a policy with a body count, and resolution tends to come late and via principal reduction, not endless rollovers.

In plain terms

Dozens of poorer countries now spend more on debt interest than on health or education, squeezing billions of people. It’s a real, ongoing crisis — but because it’s concentrated in poor countries and doesn’t threaten rich-world markets, it gets ignored. It’s unlikely to trigger a global financial crisis, yet it’s a slow humanitarian disaster and a quiet driver of migration and instability.

What you can do now

This one is mostly awareness and values, not a portfolio move — but it’s worth understanding as a force behind global migration and politics.

Watch the US dollar. A stronger dollar quietly makes this worse for many countries at once — a useful signal even for your own emerging-market exposure.

Know what your EM bond funds hold. If you invest in emerging-market debt, you’re exposed to these dynamics.

If you care about the issue, debt-relief and development charities and campaigns are where individuals can plug in.

What to watch

- The US dollar index (DXY) and US real yields: a stronger dollar mechanically raises the local-currency cost of foreign-currency debt.
- Sovereign foreign-currency bond spreads for frontier issuers, and the count of new IMF programmes or missed coupons.
- Progress (or paralysis) in G20 Common Framework restructurings — the test of whether the system can resolve rather than defer.
- Commodity and food prices: importers’ fiscal space lives and dies here.

5. China is exporting its deflation — the global transmission nobody frames clearly

WHO THIS HITS: Anyone who buys goods, works in manufacturing, or invests — China exporting cheap goods and deflation reshapes prices, jobs, and trade politics worldwide.

CURRENT THREAT LEVEL: **6/10 — Elevated** *Entrenched and radiating outward*

1	2	3	4	5	6	7	8	9	10
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Why this level: Persistent, multi-year deflation with an export surge that is straining trading partners; structural and slowly worsening rather than acute. **Raises it:** A managed yuan depreciation; an escalating tariff/anti-dumping cycle; a local-government or bank stress event. **Lowens it:** Genuine consumption stimulus; producer prices turning positive; a negotiated trade de-escalation.

What is happening

[Established] China has now run roughly ten consecutive quarters of deflationary pressure — the longest stretch since its market transition in the late 1970s. Producer prices have been negative for over 30 months; consumer inflation averaged about 0% in 2025. The cause is a structural demand deficiency: a multi-year property crash (a fifth year of contraction, with tens of millions of vacant homes) has crushed household wealth and confidence, while state-directed investment keeps adding industrial capacity.

[Established] With demand weak at home, that capacity is sold abroad: China posted a record trade surplus near \$1.2tn in 2025. The IMF's Article IV assessment is explicit that high export volumes are creating adverse spillovers, and a US Congressional Research Service summary cites an estimate that the renminbi is undervalued by around 16%. Beijing set its 2026 growth target at 4.5–5%, the lowest in decades.

[Single-source] One account puts the local-government debt pile near \$18.9tn against land sales that once supplied 40% of local revenue; **[Established]** the broader point — a doubling of total debt to over 300% of GDP and a local-government financing overhang that forces banks to roll loans to “zombie” firms — is well supported and entrenches the overcapacity.

Why it is under-covered (as a global story)

China's deflation is covered — as a China story. What is under-framed is the transmission: a \$20tn economy quietly exporting disinflation and excess supply into global tradable goods reshapes prices, margins and politics in dozens of other countries, feeding tariff fights, squeezing emerging-market manufacturers, and complicating every other central bank's job.

The debate

The catastrophist view: a debt-deflation spiral that ends in a balance-sheet crisis or a sharp devaluation.

The stagnation view: an “L-shaped” grind — low growth, persistent deflation, no collapse — Japanification with Chinese characteristics.

Beijing's view: risks are contained, and “new quality productive forces” (EVs, solar, robotics, AI) will replace property as the engine.

All sides accept: the deflation is real and persistent, the consumer-demand response has been modest relative to the problem, and the export surge is straining trading-partner relations.

Stress test (the benign case)

China has confounded collapse calls for over a decade. It retains enormous policy room (rates, reserve requirements, special bonds), a closed capital account that limits flight, and genuine global leadership in EVs, solar and automation that could yet rebalance growth. Cheaper Chinese goods also lower input costs and inflation for importers — a benefit, not only a threat. The flaw in the benign case: every quarter of deferred demand-side reform deepens the debt-deflation loop and widens the external imbalance that provokes a protectionist backlash.

Historical parallel

Japan after 1990 is the canonical comparison: a property and balance-sheet bust followed by decades of deflationary stagnation despite heavy investment. The cautionary twist is scale — Japan was a creditor exporting capital; China is a far larger share of global manufacturing exporting goods, so its domestic deflation radiates outward with greater force, much as the 1930s saw beggar-thy-neighbour dynamics when surplus capacity met weak demand.

In plain terms

China's economy is stuck in a slump where prices keep falling. To cope, it's producing and exporting huge volumes of cheap goods. For shoppers elsewhere that can mean lower prices; for factories and workers in other countries it means brutal competition, and it fuels tariffs and trade fights. It's a China problem that quietly becomes everyone's problem through trade.

What you can do now

As a shopper, cheaper imports can help you — but expect more 'trade war' headlines and tariffs that can raise some prices and rattle markets.

If your job or industry competes with Chinese exports (manufacturing, steel, solar, EVs), watch for pricing pressure and plan accordingly.

For investors, diversify. Broad emerging-market and commodity exposure is sensitive to China's slowdown.

Don't assume low inflation is permanent. Trade fights can flip cheap-goods disinflation into cost-push inflation quickly.

What to watch

- China's PPI and the CNY exchange rate: a managed depreciation would intensify exported deflation and invite retaliation.
- Export volumes vs values, and tariff/anti-dumping actions by the EU, US and emerging markets — the political feedback loop.
- Any genuine consumption stimulus (social safety net, direct transfers) vs more supply-side investment — the signal of whether Beijing is treating the cause or the symptom.
- Local-government financing-vehicle restructurings and bank net interest margins.

6. Critical minerals as a weapon: “availability is not access”

WHO THIS HITS: Anyone who buys cars, electronics, or appliances, plus workers in manufacturing, clean energy, and defense — these minerals are in almost everything with a motor or magnet.

CURRENT THREAT LEVEL: **6/10 — Elevated** *Coercive tool on a fragile truce*

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Why this level: China's processing chokepoint is real, the November 2025 pause is temporary with the April controls intact, and access can be throttled quickly. **Raises it:** Reinstated or expanded export controls; lapse of the pause; a geopolitical flashpoint over Taiwan or tech. **Lowers it:** An extended or broadened truce; non-China processing and magnet capacity coming online on schedule.

What is happening

[Established] China controls roughly 90% of global rare-earth permanent-magnet production and about 91% of refining and separation — the processing chokepoint, not just the mines. Through 2025 it built a licensing regime into a coercive instrument: April 2025 controls on seven heavy rare earths and magnets; an October 2025 expansion adding five more elements and, via Announcement 61, an extraterritorial reach over foreign goods containing Chinese-origin material; then a November 2025 pause (Announcements 70/72) that suspended the October measures but preserved the April controls and the licensing machinery.

[Established] The key insight from trade data: availability is not access. China's overall magnet exports rose even as shipments to the US fell sharply, because supply is selectively allocated through discretionary licensing. US yttrium imports ran 17 tons across April–December 2025 versus 333 tons in the prior period; aerospace makers have rationed material. Ford halted Explorer production for a week in May 2025; European magnet prices reached up to six times Chinese levels.

Why it is under-covered

Headlines treat each tariff truce as “resolved.” The structural reality — that the November détente is a temporary, revocable pause sitting atop intact controls, and that the real bottleneck is processing know-how that takes years to replicate — gets lost between summit news cycles.

The debate

The hawk view: decouple fast; subsidise an ex-China chain across mining, separation, metallisation and magnet-making at any cost, because the leverage is intolerable.

The realist view: diversification is possible but slow, capital-heavy and chemistry-bound; switching costs run into billions per firm and decoupling could cut first-year operating profits 15–50% in exposed firms.

Beijing's framing: conservation and national security.

All sides accept: the chokepoint is real, processing (not ore) is the binding constraint, and meaningful displacement is measured in years.

Stress test (the benign case)

Diversification is genuinely underway: a US–Australia critical-minerals framework, a layered US–Japan partnership (including deep-sea rare-earth mud research), nearly \$4bn in US EXIM letters of intent, and new magnet capacity coming online in summer 2026. Substitutes (iron-nitride magnets, magnet-free motor architectures) are advancing. The benign case says prices stay elevated but supply chains adapt

through triage and recycling. Its weakness: every credible analysis still puts true processing independence years away, and a single licensing freeze can outpace the build-out.

Historical parallel

China's 2010 rare-earth embargo against Japan is the precedent: it spurred a wave of patenting and some ex-China capacity, but did not close the gap quickly — dependence persisted for years. The deeper analogue is the 1973–74 oil shock, which is exactly why the IEA has launched a Critical Minerals Security Programme modelled on the emergency-stockpile cooperation that followed the oil embargo. The lesson: chokepoint shocks accelerate diversification but reward the holder for a long interim.

In plain terms

China controls about 90% of the processing for the 'rare earth' magnets used in EVs, electronics, wind turbines, and weapons. It has turned export licenses into a bargaining chip — supply can be quietly throttled even when the minerals technically exist. A November 2025 truce paused the harshest measures but left the controls in place, and building alternatives outside China takes years, so this leverage isn't going away soon.

What you can do now

Mostly awareness: expect occasional shortages, price bumps, or delays in products that rely on these magnets (some cars, electronics) when controls tighten.

If you're in an affected industry (autos, electronics, defense, clean energy), supply-chain diversification and inventory planning matter.

Treat single-stock 'rare earth' bets with the usual caution; it's a long-running theme, not a guaranteed winner.

No need to stockpile anything personally — the impact shows up as prices and availability, not a household emergency.

What to watch

- Chinese export-license approval times and volumes by element and destination — the real-time gauge of access vs availability.
- Whether the November pause is extended, expired, or reinstated (watch the late-2026 dates in the announcements).
- Heavy rare-earth prices (dysprosium, terbium, yttrium) and ex-China premiums.
- Commissioning milestones for non-China separation and magnet plants in 2026–2027 — announcements vs actual qualified output.

7. Stablecoins quietly become a pillar — and a fault line — of Treasury demand

WHO THIS HITS: Anyone who uses crypto or dollar ‘stablecoins’ — and, indirectly, all savers, because these tokens are becoming a real buyer of US government debt.

CURRENT THREAT LEVEL: 4/10 — **Moderate** *Fast-growing but still small*

1	2	3	4	5	6	7	8	9	10
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Why this level: A new and run-prone marginal buyer of T-bills, but still modest relative to the system and freshly regulated under the GENIUS Act. **Raises it:** A major stablecoin losing its peg under stress; rapid, thinly-backed growth; a run forcing T-bill fire-sales. **Lowers it:** Smooth GENIUS implementation; full, transparent reserve backing; concentration in well-capitalised issuers.

What is happening

[Established] Dollar stablecoins grew to roughly \$280bn outstanding by year-end 2025, from about \$25bn in 2020. The July 2025 GENIUS Act gave them a federal framework requiring 1:1 backing in cash and short-dated Treasuries (93 days or less) plus repo, with monthly disclosure. The US Treasury Secretary has openly framed the law as a tool to cement dollar dominance and “surge” demand for US Treasuries, projecting a multitrillion-dollar market.

[Established] That makes stablecoin issuers a fast-growing, price-insensitive buyer of Treasury bills — holdings that already rival some sovereign holders. ECB and BIS research finds a \$3.5bn inflow into dollar stablecoins lowers 3-month bill yields by roughly 2.5–3.5 basis points, an effect that more than doubles when bills are scarce. The ECB explicitly describes a “global safe-asset channel” and frets that Europe must field euro stablecoins or cede ground.

Why it is under-covered

It is filed under “crypto,” which causes serious macro readers to skip it. But the relevant story is not speculation — it is market structure: a new, lightly understood, run-prone intermediary is becoming a material marginal buyer at the short end of the world’s most important bond market.

The debate

Boosters argue: stablecoins extend dollar reach globally, deepen Treasury demand, and modernise payments (instant, programmable, 24/7).

Skeptics argue: they import run risk into the Treasury market, lack 24/7 redemption infrastructure, raise illicit-finance questions, and the fiscal benefit is partly offset by lost seigniorage as currency demand falls.

Both sides accept: the sector is growing fast, is now macro-relevant to short-end Treasury demand, and concentrates reserves in a narrow band of assets.

Stress test (the benign case)

GENIUS’s reserve, disclosure and audit requirements are precisely designed to make these instruments boring and run-resistant; full reserve backing in T-bills is far safer than the assets behind past failures. If the rules hold and a few well-capitalised issuers dominate, stablecoins could be a stabilising, structural source of bill demand. The vulnerability: a loss of peg under stress (USD Coin briefly fell to about \$0.87 in March 2023) could force rapid, synchronised T-bill sales into a stressed market — transmitting a crypto shock into Treasury funding, the very plumbing Stories 1 and 2 also run through.

Historical parallel

The closest analogue is the 2008 “breaking the buck” of the Reserve Primary money-market fund, which triggered a run across prime money funds and a government backstop. Stablecoins are economically similar — fixed-value claims backed by short paper, vulnerable to redemption runs — but without the decades of money-fund regulation and now wired into round-the-clock crypto markets that never close for a cooling-off period.

In plain terms

‘Stablecoins’ are crypto tokens meant to always be worth \$1, backed by cash and short-term US government debt. They’ve grown fast enough to matter to the Treasury market. The risk: if a big stablecoin ‘breaks the buck’ in a panic (one briefly did in 2023), it could be forced to dump those Treasuries quickly, pushing a crypto shock into the wider financial plumbing. New US rules (the GENIUS Act) aim to make them safer.

What you can do now

Remember they’re not bank deposits. Stablecoins aren’t FDIC-insured, and the ‘\$1’ peg can break under stress.

Prefer large, transparent, fully-reserved issuers that publish audits — and don’t park money you can’t afford to lose in them for a little extra yield.

Don’t treat the yield as ‘risk-free.’ That yield is payment for real risks.

For most people this is awareness; if you don’t use crypto, your exposure is indirect (its effect on the Treasury market).

What to watch

- Total stablecoin supply and the share held in T-bills vs repo: the size of the new marginal buyer.
- Any peg deviation in major stablecoins under market stress — the run trigger.
- GENIUS implementing rules from Treasury/OCC and the Fed’s stance on payment accounts — the guardrails.
- Concentration: how few issuers dominate, and whether non-financial firms enter via loopholes.

Pattern analysis: how the seven stories interlock

These are not seven separate risks. They are facets of three deeper currents, and several of them converge on the same point of failure.

Current A — Load-bearing leverage has migrated into the shadows

The basis trade (1), private credit (3) and stablecoins (7) are all non-bank intermediaries that have quietly become systemically important while sitting outside the core banking perimeter. Each is large, opaque or leveraged, and each is regulated late and partially. The common failure mode is the same: a liquidity or volatility shock forces synchronised selling because positions are crowded and funding is short-term. Watch one cross-cutting signal — a spike in short-term funding stress (repo rates, the SOFR-fed funds spread) — and you are watching the pressure gauge for all three at once.

Current B — The US Treasury market is the single convergence point

This is the most important connection in the brief. Four of the seven stories meet in the same place:

- Japan (2): a carry unwind makes Japanese institutions repatriate, removing a major foreign buyer of Treasuries.
- The basis trade (1): leveraged hedge funds are now a leading marginal buyer — but a fragile, fast-unwinding one.
- Stablecoins (7): a new marginal buyer at the short end — also run-prone.
- Developing-world debt (4): the dollar and US real yields that drive Treasury pricing are the same variables that decide whether dozens of poor countries can pay.

The question that ties them together: as the US issues record amounts of debt, who absorbs it — and how stable are the new absorbers? Three of the marginal buyers (leveraged funds, stablecoins) are structurally fragile, and one of the old reliable buyers (Japan) is wobbling. That is the macro fault line of 2026.

Current C — China is simultaneously disinflationary and inflationary for the world

China exports deflation through cheap goods (5) while it can impose cost-push inflation through critical-mineral chokepoints (6). The same country is pushing global prices down in tradable consumer goods and up in strategic industrial inputs — a contradiction that makes every other central bank's job harder and feeds the geoeconomic fragmentation that the World Economic Forum named the top global risk for 2026.

The meta-pattern — “not systemic, so ignored”

Notice how often the reason a story is under-covered is itself the risk. Developing-world debt is ignored because it is “not systemic.” Private-credit marks are trusted because they are not tested. The basis trade is invisible because it is technical. Insurance retreat (a leading candidate for the next set) is treated as a consumer-bills story rather than a financial-stability one. The connective lesson: in 2026, the dangerous risks are not the loud ones — they are the ones the system has agreed not to look at.

In plain terms

Put simply: the world's financial system has quietly moved a lot of its most important machinery into places that are huge, hard to see into, heavily borrowed against, lightly policed, or being used as political weapons — and many of those threads run through the same single point: the US

government bond (Treasury) market, which sets the price of almost everything. None of this means a crash is coming; most are slow-building risks with real off-ramps. But the simple, sensible response for an ordinary person is the same across all seven: keep some cash, avoid over-borrowing, spread your money across different types of assets and regions, and be wary of anything promising high returns with no risk.

Master watchlist

A single dashboard of the highest-signal indicators across all seven stories. Cadence is the realistic frequency at which each updates.

Indicator	Why it matters / what it signals	Cadence
Repo rates & SOFR-fed funds spread	Funding stress for the basis trade and all leveraged non-banks; quarter-end spikes are warnings.	Daily
MOVE index (Treasury vol)	Trigger for margin/haircut doom loops in the basis trade.	Daily
USD/JPY + 10y/30y JGB yields	Carry-unwind signature; repatriation risk for US Treasuries.	Daily
US dollar index (DXY) + US real yields	Drives developing-world debt servicing and EM stress.	Daily
Private marks vs public loan/BDC prices	A widening gap understates real private-credit losses.	Monthly/Quarterly
China PPI + CNY	Intensity of exported deflation; devaluation risk.	Monthly
Rare-earth license times & ex-China premiums	Access (not just availability) to critical inputs.	Weekly/Monthly
Stablecoin supply + peg integrity	Size and fragility of a new Treasury buyer.	Daily/Real-time
New IMF programmes / sovereign spreads	Pace of the silent debt crisis; cascade risk.	Ongoing

Confidence, caveats and what could make this wrong

Single-source flags. Three specific figures rest on one source each and should be treated as leads, not facts: Japan's ~232% debt-to-GDP for end-2026; China's ~\$18.9tn local-government debt pile; and the precise renminbi-undervaluation estimate. The surrounding theses do not depend on these exact numbers.

Forecasts vs facts. Default-rate projections (private credit), growth and inflation paths, and fiscal scenarios are projections by definition. They are signposts, not predictions, and are tagged accordingly in the text.

Data lags. Several key datasets (Form PF on hedge-fund leverage, private-credit NAVs, some trade and debt statistics) are reported with weeks-to-months of delay, so the live picture may already differ from the latest published figures.

What would falsify the connective thesis. If SEC central clearing lands cleanly, the BoJ normalises without a yen shock, private-credit defaults plateau near historical norms, and stablecoin rules hold through a stress event, then the “fragile Treasury-demand” fault line largely closes. The thesis is a structured worry, not a forecast of crisis — and it is built so you can watch it weaken or strengthen in real time via the watchlist.

Method note. This brief was assembled from public primary and secondary sources via live search on 25 June 2026, prioritising official bodies (World Bank, OECD, IMF, FSB, Federal Reserve, ECB, central-bank and government releases) over commentary, with claims tagged by confidence and both sides of each dispute represented. It is informational analysis, not investment, legal or financial advice.

Plain-language glossary

Quick, jargon-free definitions for the terms used above.

Basis trade — a strategy that profits from the tiny price gap between a US Treasury bond and its futures contract; it only works at huge scale, so it is run with heavy borrowing.

Repo (repurchase agreement) — a way to borrow cash overnight by pledging bonds as collateral — the funding engine behind the basis trade.

Haircut — the safety margin a lender demands on collateral; a ‘zero haircut’ means no cushion if prices move.

MOVE index — a gauge of how volatile the US Treasury market is — the bond market’s version of the stock ‘fear index.’

Carry trade — borrowing cheaply in a low-rate currency (like the yen) to buy higher-returning assets elsewhere; profitable until the funding currency jumps.

JGB — Japanese Government Bond — Japan’s equivalent of a US Treasury.

Quantitative tightening (QT) — a central bank shrinking its bond holdings, which tends to push longer-term interest rates up.

Private credit / direct lending — investment funds (not banks) lending directly to companies — higher-yield, but opaque and not priced daily.

Payment-in-kind (PIK) — when a borrower pays interest with more debt instead of cash — a sign of strain that also hides it.

CLO — a bundle of loans repackaged and sold to investors in slices; a 2008 building block now reappearing in private credit.

Marks / NAV — the estimated value a fund reports for assets that don’t trade publicly; can lag reality by months.

Sovereign debt distress — when a government struggles to pay what it owes, forcing austerity or restructuring.

Debt servicing — the interest (and principal) a borrower must pay — money that can’t go to anything else.

G20 Common Framework — the main international process for restructuring poorer countries’ debts; widely criticised as slow.

Deflation — a sustained fall in prices; it sounds nice but discourages spending and investment and is hard to escape.

PPI (producer price index) — the prices factories receive for goods; a leading signal of inflation — or, in China’s case, deflation.

Overcapacity — building more factories and output than there is demand for, which pushes prices down and exports up.

LGFV — ‘local government financing vehicle’ — off-the-books Chinese borrowing entities carrying enormous debts.

Rare earths — metals essential for the magnets in EVs, electronics, and weapons; China dominates their processing.

Processing chokepoint — controlling the refining/manufacturing step (not the raw ore) — where China's real leverage lies.

Export license — government permission to ship a product abroad; used to throttle rare-earth supply selectively.

Stablecoin — a crypto token designed to always be worth \$1, backed by cash and short-term government debt.

Breaking the buck / peg — when a stablecoin (or money fund) falls below its promised \$1 value — the trigger for a run.

GENIUS Act — the 2025 US law setting reserve and disclosure rules for stablecoins.

Treasury bill (T-bill) — short-term US government debt (a year or less) — the safe asset stablecoins and money funds hold.

US Treasury market — the ~\$30tn market for US government debt; it sets the 'risk-free' rate that prices nearly everything else.

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Grouped by story. Where a claim was contested or single-source, that is noted in the body text above.

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End of Set 1. If you judge these seven to be heavy enough in weight, the next set can lead with insurance-market retreat as a systemic risk, China's local-government debt machinery in depth, and the eurozone's fiscal-political strains — plus any thread above you want taken further.